

1. A user initiates a connection with an app.
2. The user connects with the relay to establish the connection.
3. Once the connection is established, the relay facilitates communication.
4. Each message relayed has an associated price, which the app or SDK pays in fees.
5. The collected fees are used to reward nodes and wallets for their work in maintaining the Network.
6. This process repeats for all messages conveyed through the Network.

For an overview of the Network and token flow see Annex 10.3. Note that the mechanism for charging fees is intended to ensure that the end user does not have to pay to make a connection and has no other friction added to their user experience.

6.5 Fees & Fee Mechanisms

Initially, applications and SDKs will not be charged fees by the Network for using the relay services. However, given there is a cost to provide this service in a privacy-preserving and censorship resistant way (i.e. the costs aren't being covered by selling data or gatekeeping the ecosystem) it may be necessary, when the ecosystem reaches an appropriate stage of maturity, that the introduction of fees could be proposed by the community, discussed, and decided upon through governance mechanisms.

During this time, efforts are focused on encouraging adoption and growth, minimizing disruption to users, and allowing time for necessary infrastructure adjustments and progress toward future permissionless operation.

All the Network participants groups will be receiving WCT tokens (more on this below) to prepare them for when this is enabled. If additional functionality is layered into the Network, new fee models may emerge which will involve fees to be paid in WCT token.

6.6 Rewards

17.5% of the initial token supply is allocated for rewards to incentivize Network participants over the first few years of operations. This allocation is strategically phased: in the first year, only 5% will be distributed to test Network assumptions, while the remaining 12.5% is reserved for subsequent years. This larger portion is a “flexible incentive” and may be subject to change to maintain the reward mechanism’s support of Network goals and benefits to all participants.